The amount disallowed or deferred for March through June 2007 represents a significant increase in CSF oversight by Defense. For example, from January 2004 through August 2006, Defense disallowed or deferred an average of a little more than 2 percent of each monthly Pakistani reimbursement claim, for a total of $59.4 million over a 32-month period. In comparison, the average percentage of Pakistani claims disallowed or deferred for September 2006 through February 2007 was 6 percent or $33.3 million over a 6-month period and for the most recent claims (March 2007 through June 2007) processed in February 2008, was approximately 22 percent, or $81.2 million in a four month period. This four month period accounts for approximately 53 percent of the total CSF funding disallowed or deferred by Defense since January 2004 ($173.92 million).

The Comptroller disagreed with some of ODRP's recommendations. For example, ODRP recommended disallowing $26.4 million for the maintenance of air defense radars since terrorists in the border region possessed no air force. The Comptroller noted, however, that these radars could also provide air traffic control for Pakistani military aircraft operating in the area and for U.S. military flights to Afghanistan. As a result, the Comptroller modified ODRP's recommendations to disallow certain costs and instead deferred payment on these costs until Pakistan could provide more information to support the reimbursement request. However, as of May 2008, Defense has not paid any of these deferred CSF costs because Pakistan has not provided evidence to indicate that these costs were valid. Figure 7 shows the increased CSF disallowals and deferrals during ODRP's increased oversight activity in the September through October 2006 claims, and particularly in the latest claim period (March through June 2007), when Defense disallowed or deferred a total of $81.2 million over these four months.

Based on our assessment, it appears that ODRP began this increased oversight effort without any formal guidance or directive to do so. The Comptroller has provided no formal guidance that stipulates ODRP should verify that Pakistani military support has actually been performed and that expenses were actually incurred.

Furthermore, officials at ODRP from 2005 to early 2008 said that the Comptroller had provided no guidance or training on the level of oversight they should provide. Despite this lack of guidance, in November 2007, officials at the Comptroller and the Office of the Under Secretary of Defense for Policy stated that ODRP was in fact responsible for performing this oversight. However, as of May 2008, Defense had not formalized any new guidance on ODRP's verification responsibilities.

No Guidance to Ensure Continued Oversight by ODRP

Despite ODRP's increased oversight activity, continuity of this oversight is not assured. According to *Standards for Internal Control in the Federal Government*, clear delegation of authority and responsibility is important to establishing an effective internal control system.[26] However, as of May 2008, ODRP continued to lack formal guidance or training that explicitly described either its oversight responsibilities or the procedures for conducting such oversight. Staff at ODRP stated they had previously received little to no guidance or training on their specific role in analyzing Pakistani CSF reimbursement claims. Formal guidance is especially important in Pakistan, where U.S. officials are generally limited to 1-year tours due to the

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